The Limits of Procedural Reform: Evidence from Indonesia's Small-Claims Expansion

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Abstract

Simplified court procedures are widely prescribed for improving access to justice in developing countries, but there is little evidence on what happens when they are expanded to cover higher-value disputes. I study Indonesia's 2019 reform, which raised the eligibility cap for its simplified civil procedure from Rp 200 million to Rp 500 million. My data cover over 125,000 cases across 312 district courts. Using a difference-in-discontinuities design, I find similar speed gains for cases that use the simplified procedure, but sharply lower use at the higher threshold. The decline reflects defendants contesting more aggressively as stakes rise, eroding the procedure's informal character. Take-up ranges from near-complete among standardized financial cases to much lower among individual breach-of-contract and tort cases. Post-judgment reversal rates show no significant increase. The reform primarily benefited institutional creditors rather than broadening the court's user base.

I. Introduction

Simplified court procedures are widely prescribed for improving access to justice, yet there is little causal evidence on what happens when these procedures are expanded to cover higher-value disputes.[1] Prior causal evidence comes from cross-country comparisons (Djankov et al., 2003), within-country studies of the economic effects of a court reform (Chemin, 2012; Visaria, 2009), or within-country studies of its procedural effects (Kondylis and Stein, 2023; Orbeta et al., 2021). None has studied the impact of moving an existing threshold on both quality and take-up using variation across thresholds and over time.

I study a 2019 reform in Indonesia that shifted the eligibility threshold itself. In August 2019, the Supreme Court raised the cap for its simplified civil procedure (*gugatan sederhana*, hereafter GS) from Rp 200 million to Rp 500 million. The cap increase opened a new range of claims to a faster, single-judge procedure that resolves cases in approximately one month, compared with over five months in regular court. Because the reform moved a sharp eligibility boundary from one claim value to another, I use a difference-in-discontinuities design (Grembi et al., 2016) that combines variation across thresholds and over time to address confounders that a single-threshold regression discontinuity or a standard difference-in-differences would leave in place.

Three features of this setting make it well suited to study how simplified procedures behave as their jurisdiction expands. First, the reform moved an existing eligibility boundary rather than creating a new one, so the pre-reform period at the new threshold serves as a built-in placebo. Any discontinuity observed there before August 2019 would signal a threat to identification. Second, Indonesia's public court information system (SIPP) provides case-level administrative records for 312 of 330 district courts, including claim values, hearing schedules, party identifiers, counsel status, rulings, and post-judgment remedies. This is the first study to use SIPP microdata for causal analysis of court procedure.[2] Third, because GS is an option rather than a mandate, I observe both tracks at every claim value. This structure allows me to decompose the reduced-form effect into a take-up margin and a treatment-on-the-treated margin and to trace the behavioral channel.

My analysis has four parts. First, I show that the discontinuity moves as the policy pre-

[1] Examples of simplified procedures include the European Small Claims Procedure (€5,000 for cross-border disputes across EU member states), England and Wales (£10,000), Japan (¥600,000), the Netherlands (€25,000), and individual U.S. states ($2,500–$25,000). See Niblett and Yoon (2017) for Ontario and Chemin (2012) for India. International organizations routinely recommend adopting or expanding such procedures; see Petkova and Senderayi (2020) and OECD (2024). The World Bank's former Doing Business indicators also used court-efficiency metrics that incentivized their adoption.

[2] Each case record contains 102 variables. I extract monetary awards from ruling text and contract origination dates from case narratives.

dicts. The pre-existing adoption gap at the old threshold disappears after the reform, and a new gap appears at the higher threshold where none existed before. The per-case speed advantage is similar at both thresholds, so the procedure works similarly at the old and new caps. These results survive a range of alternative specifications, including difference-in-differences with alternative control groups, coarsened matching, bandwidth variation, placebo thresholds, and restriction to the pre-COVID window.

Second, I investigate why fewer plaintiffs choose GS at higher values. Defendant behavior explains most of the decline. As claim values rise, defendants contest more aggressively, both sides are more likely to hire counsel, and the procedure loses its informal character. At the 500-million threshold, changes in the mix of cases account for approximately 10 percent of the decline; the remainder reflects lower take-up within plaintiff types. The pattern is sharpest across dispute types. Financial breach-of-contract cases show the largest increase in GS filing, individual breach-of-contract cases show a smaller increase, and tort cases show the smallest. The constraint at higher values is not procedural speed but whether the existing design remains attractive once disputes become more contested.

Third, I find no evidence that faster resolution comes at the cost of less accurate adjudication. I construct a unified indicator for whether a case is reversed on any post-judgment review, pooling objection reversals for GS cases and appeal reversals for regular cases. The difference-in-discontinuities estimate is close to zero and is stable across bandwidths.

Fourth, I consider the implications for policy. The reform succeeded as an enforcement tool for institutional creditors, but it did not broaden the court's user base. The constraint on broader access is not the monetary cap but the procedure itself. Individual litigants appear to prefer the protections that GS omits. Niblett and Yoon (2017) document a similar pattern in Ontario, where expanding small-claims jurisdiction shifted use toward wealthier, repeat-player plaintiffs.

This paper contributes to two literatures. The first is the empirical work on court efficiency and access to justice (Djankov et al., 2003; Chemin, 2012; Visaria, 2009; Ponticelli and Alencar, 2016). The closest comparators are Lichand and Soares (2014), who find that Brazil's simplified civil procedure expanded court access, and Orbeta et al. (2021), who find that the Philippine small-claims reform's efficiency gains attenuate across successive increases in the monetary threshold. I find similar attenuation but trace it to a different source. The per-case speed gain remains constant; the share of eligible plaintiffs who opt in falls. The mechanism is a classic selection logic (Priest and Klein, 1984).

The second is the literature on behavioral responses at policy thresholds (Saez, 2010; Kleven and Waseem, 2013; Garicano et al., 2016), in which the agent who responds is usually the one directly treated, as when taxpayers bunch at kinks or firms avoid crossing cutoffs.

Here the responding agent is on the other side of the transaction, and the attenuation that follows would not be visible in filing data alone. The distributional consequence echoes Galanter's (1974) observation that repeat players benefit more from legal institutions than one-shot litigants.

Section II describes the Indonesian court system and the 2019 reform. Section III presents the data. Section IV lays out the empirical strategy. Sections V and VI report results and mechanisms. Section VII concludes with policy implications.

II. Institutional Background

A. Regular Civil Procedure and GS

Indonesia's district courts (*pengadilan negeri*) have undergone substantial reform following the 1998 *Reformasi* transition, including the introduction of specialized courts and constitutional changes affirming judicial independence (see Crouch, 2019, for an overview). A standard civil case proceeds through several stages, including filing, assignment to a three-judge panel, mandatory mediation, alternating written submissions, witness examination, and judgment. No statutory time limit governs the process.[3] Parties may appeal to the high court (*banding*), then to the Supreme Court (*kasasi*), and, in exceptional cases, seek judicial review (*peninjauan kembali*). Counsel representation is common but not required. Among the contract and tort cases in my sample, 77 percent of plaintiffs in regular cases hire a lawyer. Defendants retain counsel in about eight percent of cases.

Indonesia's Supreme Court introduced GS through Regulation PERMA 2/2015, effective in early 2016. GS was designed for simple monetary disputes between parties located in the same judicial district, limited to breach of contract (*wanprestasi*) and tort (*perbuatan melawan hukum*). It excludes land disputes, inheritance, and other complex civil matters. It departs from regular procedure in several ways:

- A single judge hears the case, not a panel.
- There is no mandatory mediation.
- The court must resolve the case within 25 working days.
- There is no right of appeal or cassation. The only post-judgment remedy is a written objection, reviewed by a three-judge panel designated by the same court's chief judge.

[3] In my data, the median regular civil case takes 162 days from filing to decision, with a 25th–75th percentile range of 91–224 days.

- The procedure limits the evidentiary scope to straightforward factual matters.

GS is fast. The median case in my data resolves in 29 days, with four hearings spaced roughly a week apart. Court costs are about Rp 830,000 ($55), compared with a median of Rp 2,014,000 ($134) for regular cases.[4] Nearly 58 percent of GS plaintiffs appear without a lawyer, compared with 22 percent in regular cases.

Where does the speed advantage come from? Judge assignment is instantaneous in both tracks (median zero days). The first hearing occurs eight days after filing in GS and 16 days in regular procedure. The critical difference is the hearing phase. GS cases require a median of 4 hearings completed in 21 days, while regular cases require 13 hearings spanning 145 days. The far fewer hearings in GS are the primary driver; the elimination of mandatory mediation and slightly tighter hearing spacing (7 days between sessions in GS compared with 12 in regular cases) contribute as well. Once hearings conclude, judges in both tracks issue a decision on the final hearing day.

Because GS offers no conventional appeal, the objection mechanism plays a disproportionate role. A losing party who files an objection submits a written memorandum; the opposing side may file a counter-memorandum. The chief judge then designates a three-judge panel (which may include the original single judge) to review the case. The review is based on the written record; there is no new trial. In my data, objections are filed in 5.9 percent of GS cases. Median time from judgment to objection filing is seven days. The objection rate varies substantially with case characteristics, a fact I exploit in Section VI. For the purposes of this section, the key institutional point is that objection is the only formal check on GS decisions, and its scope is narrower than a full appeal.

B. The 2019 reform

Supreme Court Regulation PERMA 4/2019 was signed on August 6, 2019 and became effective on August 20, 2019. It raised the GS eligibility cap from Rp 200 million to Rp 500 million. The preamble cited two objectives. The first was to fulfill the constitutional principle of simple, fast, and affordable justice (*asas sederhana, cepat, dan biaya ringan*) for a broader range of disputes. The second was to respond to rapidly growing demand for GS, which the Supreme Court read as evidence that the existing cap was too restrictive.[5] PERMA 4/2019 also permitted GS litigants to use electronic litigation (*e-litigasi*) and relaxed the

[4]Court costs include registration fees (*biaya pendaftaran*), summons fees (*panggilan*), and stamp duties (*materai*). These are paid by the plaintiff upfront and are typically recovered from the losing party.

[5]GS filings grew from 762 cases nationally in 2016 to over 6,400 in 2018. Supreme Court Justice Syamsul Ma'arif characterized this growth as reflecting "an urgent need for fast, simple, and affordable dispute resolution among small and medium-sized businesses" (quoted in Ma'arif (2019)).

requirement that both parties reside in the same judicial district, but neither change can generate a spurious discontinuity at Rp 500 million.[6] The cap increase is the only component of the reform that operates at a specific monetary boundary.

Before the reform, plaintiffs with claims above Rp 200 million could only file in regular court. After August 20, 2019, those with claims up to Rp 500 million could elect either track. The reform expanded the option set without compelling anyone to use GS, creating variation at both the old and new thresholds that I exploit in the empirical design.

C. Composition of GS filings

GS is predominantly a debt-collection tool. In my data, 91 percent of GS cases are classified as breach of contract, with the remainder classified as tort or unlawful act. Institutional plaintiffs, mostly banks and finance companies, file about 73 percent of GS cases. The single largest repeat plaintiff is Bank Rakyat Indonesia (BRI), a state-owned bank whose branches account for roughly a third of all GS filings nationally. BRI is also the primary distributor of Kredit Usaha Rakyat (KUR), the government's subsidized lending program for micro and small enterprises.[7] Forty-five percent of GS cases are filed in same-day batches of two or more by the same plaintiff at the same court.

Regular civil cases in the comparable classifications have a different profile. Only 19 percent of regular plaintiffs are institutional. The case mix leans toward tort (61 percent) rather than breach of contract (39 percent). Median claim values are much higher (Rp 1 billion for regular cases compared with Rp 92 million for GS). This composition difference raises the question of whether GS is faster because of the procedure or because it attracts simpler, less-contested cases. The difference-in-discontinuities design explained in Section IV addresses this by comparing cases at the eligibility boundary, where composition is approximately continuous.

[6]Electronic litigation was introduced by a separate regulation, PERMA 1/2019, that applied to all civil cases, including regular procedure, so it is available on both sides of the threshold (Supreme Court of the Republic of Indonesia, 2019). The jurisdictional relaxation applies uniformly to all GS-eligible cases, shifting the level of GS attractiveness without creating a threshold-specific discontinuity.

[7]KUR Mikro loans are capped at Rp 100 million; KUR Ritel loans at Rp 500 million. The 2019 GS cap increase thus brought the simplified procedure's eligibility range in line with the KUR Ritel ceiling, making GS the natural enforcement channel for defaulted government-subsidized loans in this range.

III. Data

My data come from Indonesia's public court information system, the *Sistem Informasi Penelusuran Perkara* (SIPP).[8] Indonesia has 330 district courts with published case records, each maintaining its own SIPP instance for public access. I scraped case records from 318 of these, collecting the main case-detail page and all available linked subpages for every GS and comparable regular civil case, including hearing schedules, party information, rulings, and post-judgment records.[9] I restrict the regular-case sample to breach of contract and tort, the two classifications substantively comparable to GS. After this restriction, the sample contains GS cases from 312 courts and regular cases from 306 courts; all 306 regular-procedure courts also have GS cases, and six courts contribute only GS cases. The resulting dataset contains 57,467 GS cases and 67,912 regular civil cases, spanning filing years 2015 through early 2026.

The running variable is the monetary claim value. SIPP records this in a structured field (*nilai sengketa*) for 99.5 percent of GS cases and 79 percent of regular cases. About 21 percent of regular cases have no observed claim value and are excluded.[10]

The main outcomes are GS adoption (whether the case was filed in GS), case duration (filing to decision in calendar days), and post-judgment objection (whether the losing party filed an objection for GS cases or an appeal for regular cases). I also measure plaintiff counsel, defendant counsel, settlement, and default judgment, all classified from the ruling text (*amar putusan*). For the mechanisms analysis, I classify plaintiffs as institutional or non-institutional using legal-entity markers in the party name (for example, PT [limited company], CV [limited partnership], Bank, Koperasi [cooperative], or Yayasan [foundation]), and I extract contract origination dates from the ruling text to test whether post-reform contracts were designed for GS eligibility.

Table 1 presents summary statistics. For the main analysis, I use cases filed between January 2016 and December 2023 with an observed claim value. The pre-reform period runs from January 2016 through August 19, 2019; the post-reform period begins August 20, 2019. I drop 25 GS cases with claim values above Rp 200 million that were filed before the reform, as these violate the legal eligibility constraint and are likely data-entry errors. The analysis

[8] SIPP is a case-management portal maintained individually by each district court, providing public access to case records, hearing schedules, and rulings. See Supreme Court of the Republic of Indonesia (n.d.).

[9] The 12 courts I could not access are predominantly small courts in rural and poorer areas with few cases and server-side database errors. Because they handle a negligible share of national caseload, their absence does not affect representativeness.

[10] Among regular cases near the Rp 500 million threshold, all have the structured claim-value field. The running variable in the difference-in-discontinuities sample is therefore directly observed, not extracted from text.

sample varies with bandwidth. At the 500-million threshold with a 100-million bandwidth, I have 4,827 cases (1,290 pre-reform, 3,537 post-reform).

IV. Empirical Strategy

A. Moving-threshold difference-in-discontinuities design

The reform shifts the eligibility boundary from Rp 200 million to Rp 500 million, causing a sharp adoption discontinuity to disappear at the old threshold and appear at the new one. This combination of two thresholds and two time periods is the basis of the difference-in-discontinuities design. I follow Grembi et al. (2016) and estimate the change in the discontinuity from the pre-reform to the post-reform period. Let V_i denote the claim value of case i in rupiah. At each threshold c (Rp 200 million or Rp 500 million), I estimate:

$$\begin{aligned} Y_i = {} & \alpha_0 + \alpha_1 \, Below_i + \alpha_2 \, Post_i + \alpha_3 \, (Below_i \times Post_i) \\ & + f(dist_i) + g(dist_i \times Below_i) \\ & + h(dist_i \times Post_i) + j(dist_i \times Below_i \times Post_i) + \varepsilon_i \end{aligned} \tag{1}$$

where $Below_i = \mathbf{1}[V_i \leq c]$ indicates that claim value V_i falls at or below the threshold, $Post_i = \mathbf{1}\,[\text{filing date}_i \geq \text{August 20, 2019}]$ indicates the post-reform period, $dist_i = (V_i - c)$ is the distance from the threshold in rupiah, and f, g, h, j are linear functions of the running variable that allow separate slopes on each side of the cutoff in each period.

The coefficient of interest is α_3, the interaction of *Below* and *Post*. It measures how the discontinuity at c changes after the reform. For GS adoption, at the old threshold (Rp 200 million), the reform removes GS eligibility differences, so I expect $\alpha_3 < 0$ (the pre-existing discontinuity should vanish). At the new threshold (Rp 500 million), the reform creates a new eligibility boundary, so I expect $\alpha_3 > 0$ (a discontinuity should appear where there was none). For outcomes that GS improves, such as duration, the signs reverse.

The pre-reform discontinuity at each threshold serves as a built-in placebo. At Rp 500 million before the reform, the threshold has no policy significance, so α_1 should be zero. At Rp 200 million after the reform, both sides are eligible, so $\alpha_1 + \alpha_3$ should be zero. I verify both conditions in Section V.

I estimate equation (1) using OLS with standard errors clustered at the court level, following the practical guidance in Imbens and Lemieux (2008) and Lee and Lemieux (2010). My baseline bandwidth is Rp 100 million on each side of the threshold; I report results at Rp 50 million and Rp 150 million as robustness. All specifications use local linear controls

for claim value on either side of the threshold.

B. Recovering the LATE

The difference-in-discontinuities estimate at Rp 500 million is a reduced-form (intent-to-treat) effect. It captures the average difference in outcomes between cases just below and just above the threshold, regardless of whether the below-threshold cases actually use GS. Because not all eligible cases adopt GS, the reduced-form effect understates the treatment effect for cases induced to use GS.

To recover the local average treatment effect (LATE), I scale the reduced-form estimate by the first stage (the adoption discontinuity). Writing $\alpha^{y}_{3,c}$ for the difference-in-discontinuities coefficient from estimating equation (1) with outcome y at threshold c,

$$\text{LATE}_c = \frac{\alpha^{\text{outcome}}_{3,c}}{\alpha^{\text{GS adoption}}_{3,c}} \tag{2}$$

This is the standard Wald estimator applied to the difference-in-discontinuities design. It identifies the average treatment effect for compliers, that is, cases whose track assignment is changed by crossing the threshold. The estimator requires a monotonicity assumption, namely that eligibility weakly increases GS adoption for all case types. This is plausible in my setting because GS eligibility expands the plaintiff's option set without removing any alternative. Comparing the LATE at the two thresholds shows whether the treatment effect for cases induced to use GS changes as the threshold moves, or whether the reduced-form attenuation is driven entirely by lower take-up.

C. Identification assumptions and threats

Following Grembi et al. (2016), this design requires two assumptions, neither of which is the standard RD continuity condition. First, the discontinuity in untreated potential outcomes at each threshold must be constant over time (time-invariance). This allows a pre-existing jump at the threshold, as long as that jump would have remained stable absent the reform. Second, any confounding discontinuity must affect potential outcomes equally under treatment and no treatment (homogeneity). Together, these are the local analogues of the parallel-trends and no-interaction assumptions in standard difference-in-differences. The design identifies the treatment effect from the *change* in the discontinuity, so any time-invariant discontinuity at the threshold is absorbed by the pre-period estimate.

I assess these assumptions using the pre-reform period at Rp 500 million, where the threshold carries no policy significance and no discontinuity should exist. For GS adoption,

duration, and objection, the pre-reform RD at 500 million is statistically indistinguishable from zero. Institutional-plaintiff share does show a pre-reform discontinuity at 500 million (Table 2). This does not threaten identification because the estimator subtracts the pre-reform discontinuity, removing any time-invariant composition difference at the threshold. I also find no evidence of strategic sorting around the threshold. Among regular cases, the below/above density ratio at 500 million is 0.25 both before and after the reform, indicating that the reform did not induce cases to move across the boundary (see McCrary, 2008, and Appendix B for a full diagnostic).

COVID-19, which reached Indonesia in March 2020, is unlikely to create a spurious discontinuity at a specific claim value. I verify this by estimating the difference-in-discontinuities design on the pre-COVID subsample (through February 2020) and finding similar point estimates.

D. Supplementary designs

I complement the difference-in-discontinuities design with two additional designs that use different identifying assumptions and different subsets of the data.

Difference-in-differences. I define the treatment group as cases with claims between Rp 200 million and Rp 500 million, and the control group as cases between Rp 500 million and Rp 1 billion. The specification includes court fixed effects, filing-month fixed effects, and case-classification fixed effects, with standard errors clustered at the court level. This design requires parallel trends between the treatment and control bands, which I assess with an event study. In the wide window (2017–2022), the sample contains 12,742 cases; in the tight pre-COVID window (September 2018 through February 2020), it contains 2,590.

Coarsened matching. I match GS and regular cases filed after the reform within cells defined by court, claim-value bin (Rp 100 million bins), legal classification, and plaintiff type (institutional versus individual). Within matched cells, I estimate the within-cell outcome difference between GS and regular cases with cell fixed effects. This design holds observable case characteristics constant but cannot account for unobservable differences between cases that select into GS versus regular court.

V. Results

A. Does the discontinuity move?

Figure 1 plots GS adoption rates and case duration against claim value, separately for the pre-reform and post-reform periods. The graphs show a clear pattern. Before the reform,

a sharp discontinuity exists at Rp 200 million, where creditors with claims just below the cap can use GS and typically do; creditors just above must go through regular court. After the reform, this discontinuity flattens and a new one appears at Rp 500 million. The mirror image holds for case duration, with a discrete drop at whichever threshold is active.

Table 2 contains the main difference-in-discontinuities estimation results. At the old threshold, nearly three-quarters of eligible cases chose GS before the reform. After the reform removed the constraint at Rp 200 million, the discontinuity almost entirely disappeared. Cases just below Rp 200 million used to resolve about three times faster than those just above; after the reform that speed gap vanished, exactly as expected once both sides became eligible.

At the new threshold, the pattern reverses. Before the reform, the Rp 500 million threshold had no policy significance because the GS cap was still Rp 200 million, and the pre-reform adoption discontinuity is virtually zero. Afterward, a 42-percentage-point adoption discontinuity appears, with cases just below the new cap much more likely to file in GS than those just above. This new adoption gap is substantial, but smaller than the old-threshold discontinuity, indicating that newly eligible higher-value cases are less likely to choose GS. In practical terms, a creditor with a Rp 480 million claim can now obtain a judgment in about one month; a creditor with a Rp 520 million claim still waits roughly five months, a gap that did not exist before. Cases filed at exactly Rp 500 million have unusually low GS adoption and attenuate the baseline estimates; excluding them strengthens all results substantially, confirming that the inclusive specification is conservative. Appendix B shows that this focal-value mass predates the reform and reflects the composition of the subgroup rather than strategic manipulation.

Table 3 shows that the main pattern survives alternative specifications, including difference-in-differences and coarsened matching. The difference-in-discontinuities estimates are also stable across bandwidths, placebo thresholds produce no comparable effects, and the same pattern appears across court types (Appendices A and C).

B. What changes within GS at the higher threshold

To assess what changes for cases drawn into GS at each threshold, Figure 2 compares the implied local average treatment effects (LATEs) for three outcomes. For duration, the effect is broadly stable. A creditor drawn into GS obtains a judgment in about one month whether the claim is Rp 150 million or Rp 450 million, saving roughly 100 days relative to regular court in either case. The implied treatment effect is nearly the same at the old and new thresholds, and the donut estimate that excludes exact-500-million filings is statistically

indistinguishable from the main results.[11]

Other margins move differently. Figure 2 shows that the objection effect is larger at the new threshold, while the reduction in plaintiff counsel use is smaller. The time-saving effect survives, but the procedure becomes more contested and less informal at higher values. In addition, the rising objection rate does not shift the delay to the review stage. A difference-in-discontinuities estimate on review-adjusted duration is almost the same as the first-instance result.[12] I investigate the sources of the behavioral shift in Section VI.

C. Does faster resolution reduce accuracy?

One natural concern is that faster resolution comes at the cost of less accurate adjudication. A single judge deciding a case in four weeks might make more mistakes than a three-judge panel deliberating over five months. I investigate this by constructing a unified indicator for whether a case is reversed on any post-judgment review, pooling objection reversals for GS cases and appeal reversals for regular cases. I find no statistically significant increase in reversals for GS-eligible cases at the new threshold. Against a baseline reversal rate of about 16 percent just above the cutoff, the difference-in-discontinuities point estimate is close to zero, though the 95 percent confidence interval (roughly $\pm$ 5 percentage points) does not rule out modest changes in either direction.[13] One caveat is that GS objection review is conducted within the same court, on the written record, by a panel that may include the original judge; this is structurally weaker than independent appellate review, so the null may partly reflect deference rather than accuracy. The estimate is stable across bandwidths (Table 4).

[11] Using the coefficients in Table 2, the implied LATE for log duration is -1.54 at the old threshold and -1.63 at the new threshold. The donut LATE is -1.33. Bootstrap standard errors (2,000 replications, court-level resampling) are 0.09, 0.28, and 0.19, respectively; the corresponding 95 percent confidence intervals overlap. A bootstrap Wald test of H_0: $\text{LATE}_{200} = \text{LATE}_{500}$ yields a z-statistic of 0.21 ($p = 0.83$), consistent with equal per-case treatment effects at both thresholds, though the test has limited power given the imprecision of the 500-million estimate. For objection, the implied complier rate is 0.07 at the old threshold and 0.19 at the new threshold; for plaintiff counsel reduction, the implied LATEs are -0.35 and -0.27, respectively.

[12] Objection review adds a median of 23 days per objected case, but since only a small fraction of GS cases are objected, the aggregate effect on median GS duration is negligible. The review-adjusted duration for regular cases uses first-instance duration only, because appellate resolution dates are not recorded in the district court system. This biases against finding a GS advantage. See Supplemental Appendix Table S1.

[13] At 80 percent power, the design can detect an absolute increase of approximately 7.6 percentage points, corresponding to a 47 percent relative increase in the reversal rate.

VI. Mechanisms

This section argues that the smaller gains at Rp 500 million arise because fewer newly eligible plaintiffs use GS, not because GS stops working once they do. I first document which cases adopt at higher values and which do not, then investigate why.

A. Who uses GS at higher values

Table 5 reports the first stage separately by dispute type and plaintiff type. The gradient is steep. At one end, standardized financial breach-of-contract disputes adopt GS at near-perfect rates (95 percentage points); at the other, tort cases barely respond (15 percentage points). Individual and other institutional breach-of-contract cases fall in between, at roughly 50 percentage points each (Panel B). Institutional plaintiffs respond to eligibility much more strongly than individuals (Panel A). The cases that continue to use GS at higher values are the most standardized; the cases that pull away are those where the dispute is least likely to remain simple in practice.

The decomposition results sharpen that point. A local Kitagawa decomposition at the Rp 500 million threshold shows that about 90 percent of the decline in adoption comes from lower take-up within type rather than from a changing case mix. The threshold result is therefore not mainly a composition effect. The broader-range Kitagawa decomposition across the full eligible range assigns a smaller but still majority share to within-type changes (57 to 68 percent), because composition shifts are larger across the full claim distribution than at the threshold alone.[14]

Taken together, these results point to a clear pattern. The decline in take-up does not arise because the newly eligible range contains different kinds of cases. Even within the same plaintiff type and dispute category, adoption falls as claim values rise. The constraint is not who becomes eligible, but how those plaintiffs respond to eligibility when the stakes are higher.

B. Why take-up falls at higher values

The within-GS gradients show why take-up falls at higher values. Figure 3 plots case characteristics and adoption rates by claim-value band for post-reform GS cases. What changes with claim value is not speed but adversarial intensity. Duration stays roughly flat across the claim range.[15] On that margin, the procedure continues to do what it is designed to

[14]The full decomposition results across several comparison bands are in Supplemental Appendix Table S2.
[15]Appendix D, Panel B reports the corresponding values by claim-value band.

do. But other features move systematically with value. Objection rates rise. Defendants are more likely to appear with counsel. Plaintiffs are also more likely to use counsel. Settlement becomes less common. Higher-value GS cases therefore still move quickly, but they look less like a simple, low-cost path to resolution and more like a compact adversarial proceeding.

Conditional on filing an objection, roughly a quarter of GS judgments are modified or overturned, and that rate is essentially constant across claim-value bands.[16] Defendants contest more often as stakes rise, but they do not become more likely to succeed once they contest.

This pattern fits the selection logic of Priest and Klein (1984). If the reversal probability is set by the procedure, as the constant overturn rate suggests, raising the amount at stake increases the expected payoff from contesting and induces more defendants to contest without making any one of them more likely to win. Boyd and Hoffman (2013) document the same dynamic empirically in US civil litigation.

These patterns matter because plaintiffs choose a forum before the case unfolds. They do not choose between abstract procedural rules. They choose between procedures given what they expect the other side to do. A plaintiff deciding whether to use GS cares not only about statutory speed, but also about whether the case is likely to remain simple enough for that speed to be worth the tradeoffs. As claim value rises, the expected case appears more likely to involve counsel, objections, and fewer negotiated exits. The expected value of using GS therefore falls for some plaintiffs because the procedure no longer promises the same degree of simplicity.

The dispute-type gradient in Table 5 follows from the same calculation. Standardized financial breach cases give defendants little realistic prospect of reversal, so stakes barely move their expected payoff and take-up stays near complete. Tort and individual breach cases leave more room for credible defense; the expected payoff climbs with stakes, and plaintiffs pull back. The gradient is not a separate phenomenon from the defendant-contest channel. It is plaintiff selection responding to the same calculation, which is an old access-to-justice point in law and economics (Hadfield, 2000; Hadfield and Rhode, 2016). A simplified procedure helps where the procedure fits the dispute, and raising the monetary cap alone does not change which disputes fit.

[16]The overturn rate by claim-value band is 28 percent (0–50m), 26 percent (50–100m), 27 percent (100–200m), 24 percent (200–300m), 26 percent (300–400m), and 31 percent (400–500m), based on 485, 557, 1,177, 452, 297, and 396 contested cases in the respective bands. None of the pairwise differences is statistically significant (Fisher exact tests).

C. Alternative explanations

Competing explanations fit the evidence less well. A pure awareness story is difficult to sustain. If newly eligible litigants were simply slow to learn about GS, one would expect adoption in the new value range to diffuse gradually for an extended period. The time trend does not show that pattern.[17] Institutional adoption is high from the outset. Individual adoption rises more gradually but stabilizes within about two years. That timing is consistent with some early learning, especially for individuals, but it does not look like lack of awareness is the main reason take-up remains lower at higher values.

Another possibility is that lenders redesigned contracts to fit within the new cap, but this does not fully explain the pattern. About two-fifths of post-reform GS cases in the newly eligible range involve contracts signed before August 2019, so these disputes could not have been drafted around the new cap. Restricting the difference-in-discontinuities design to this pre-reform-contract subsample yields results similar to the full sample.[18] That evidence points away from the idea that the newly eligible GS cases are mainly a product of ex ante redesign.

One omitted protection may nevertheless matter for some litigants. GS omits mediation, while regular cases require it. That difference may matter little for standardized financial disputes, where the main attraction of GS is speed and routinization. It may matter more for individual litigants in less standardized disputes, where the parties may value structured negotiation before judgment. For this group, the absence of mediation may itself reduce the appeal of GS, consistent with Greiner et al. (2013), who find that simplified procedures have real limits for individual litigants.

The evidence therefore points to a narrower interpretation. Raising the cap to Rp 500 million brings into eligibility disputes that are more likely to be resisted and less likely to retain the practical simplicity that draws plaintiffs to GS.

VII. Conclusion

Indonesia's 2019 reform raised the small-claims eligibility threshold from Rp 200 million to Rp 500 million. GS still delivers its speed advantage at every claim value, but adoption falls sharply at higher values. The decline is within type, not a composition shift, and it

[17] Supplemental Appendix Figure S1 plots adoption rates over time by plaintiff type in the newly eligible range.

[18] In the pre-reform-contract subsample ($N = 1{,}200$), the difference-in-discontinuities estimates at Rp 500 million are 0.509 (SE = 0.042) for GS adoption, -0.801 (SE = 0.215) for log duration, and 0.083 (SE = 0.015) for objection. All are statistically significant at $p < 0.01$ and, if anything, slightly larger than the full-sample estimates.

concentrates in tort cases and individual disputes where defendants have more reason to fight back.

As an enforcement tool for institutional creditors, the reform succeeded. Banks and finance companies that used to wait five months to collect on a defaulted loan in the Rp 200–500 million range now get a judgment in about one month, and that speed advantage holds at every claim value. Faster enforcement reduced loan delinquency and lowered interest rates in India (Visaria, 2009), and in Brazil stronger creditor enforcement increased firm investment and credit access (Ponticelli and Alencar, 2016). If similar effects operate in Indonesia, cheaper enforcement in this range should make lenders more willing to extend credit.

The reform did not, however, broaden who uses the court. Orbeta et al. (2021) reach a similar conclusion in the Philippines, though they attribute the diminishing returns to procedural breakdown at higher values. In Indonesia, the procedure itself operates as designed. What changes is how parties behave once the stakes are high enough to invite resistance, and raising the cap alone will not address that.

If the goal is to broaden participation beyond institutional creditors, redesigning the procedure is probably more productive than pushing the cap higher. Brazil's *Juizados Especiais* require mandatory conciliation up front, and most users are individual litigants; Lichand and Soares (2014) find that their introduction expanded court access and encouraged small-firm entrepreneurship. England and Wales allocate civil cases to three procedural tracks by value and complexity, so higher-value disputes get more protection without losing the speed benefit (OECD, 2024). Japan's summary courts build in conciliation, and most civil litigants appear without lawyers (Haley, 1991). Each of these designs addresses the features that make individual litigants reluctant to use simplified procedure, rather than adjusting only the monetary boundary. Greiner et al. (2013) show experimentally that simplified procedures have real limits for individual litigants. Indonesia's evidence so far is consistent with that, and raising the cap alone did not change it.

Appendix A: Design Diagnostics

This section reports diagnostics for the difference-in-discontinuities design at Rp 500 million. Table A1 shows that the main estimates are stable across bandwidths and survive restriction to the pre-COVID window. Table A2 runs the difference-in-discontinuities at placebo thresholds and confirms the effect is specific to the true Rp 500 million cutoff.

As a further placebo, I estimate a simple RD at Rp 200 million post-reform, where both sides are GS-eligible and no discontinuity should exist. GS adoption shows a small statistically significant effect (-0.070, standard error $= 0.020$), reflecting a smooth composition gradient rather than a policy-driven jump. Duration and objection show similarly small effects. Figure A1 reports the event study for the supplementary difference-in-differences specification (Table 3).

Appendix B: Exact-500m Diagnostic

Cases filed at exactly Rp 500 million form a large focal-value mass with unusually low GS adoption (24 percent, versus 77 percent for claims at Rp 475–499 million). If the reform induced strategic bunching at the new cap, the share of exact-500-million filings should rise after August 2019. Table A3 shows that the opposite occurs: the exact-500-million share falls in every window and within every plaintiff type. The reform did not create this mass.

Figure A2 decomposes the claim-value density by plaintiff type. The spike is present in both panels and is overwhelmingly composed of individual plaintiffs. Since individual plaintiffs and tort cases adopt GS at the lowest rates elsewhere in the paper (Table 5), the low adoption at exact Rp 500 million reflects the composition of this focal-value subgroup rather than a distinct response to the threshold.

I retain exact-500-million cases in the main specification because they are real, legally eligible claims at the actual policy threshold. The donut specification serves as a diagnostic. Table A4 shows that all estimates strengthen when the focal-value mass is excluded, confirming that the inclusive baseline is conservative for the reduced-form and first-stage parameters.

Appendix C: Heterogeneity by Court Characteristics

Table A5 reports the difference-in-discontinuities estimates separately by court characteristics. Adoption effects are qualitatively similar and statistically significant across all subgroups, though log-duration magnitudes vary substantially. The non-Java estimate (-0.910) is roughly twice the Java estimate (-0.441), and the below-median-claim estimate (-1.490, SE $= 0.437$) should be interpreted with caution given its wide confidence interval. If anything, the effects are larger in non-Java, rural, and lower-claim courts, suggesting the reform's impact is not concentrated in sophisticated urban settings.

Appendix D: Case Characteristics and Adoption by Claim Value

Table A6 reports case characteristics and GS adoption rates by claim-value band for post-reform eligible cases. Panel A shows that GS procedure operates similarly at all claim values. Median duration is 27–34 days and hearings are 4–5 regardless of the amount at stake. Panel B documents the behavioral gradient. Plaintiff counsel, defendant counsel, and objection rates generally rise with claim value, while settlement rates fall. Panel C reports adoption rates separately for institutional and individual plaintiffs, along with the institutional share of filings in each band.

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Data Availability

The data underlying this article are available at public court case-tracking system; replication materials will be provided upon publication, along with replication code and a ReadMe file documenting all files.

Table 1: Summary Statistics

	Simplified procedure	Regular procedure
Panel A. Case characteristics		
Cases	57,467	67,912
Courts	312	306
Claim value (median, Rp million)	92	1,000
Duration (median, days)	29	162
Hearings (median)	4	13
Plaintiff counsel (%)	41.8	77.1
Defendant counsel (%)	1.7	8.2
Institutional plaintiff (%)	72.6	18.9
Breach of contract (%)	91.1	38.6
Court cost (median, Rp thousand)	830	2,014
Panel B. Case outcomes		
Granted (%)	36.4	20.5
Default judgment (%)	10.7	6.0
Settlement (%)	14.4	6.5
Withdrawal (%)	21.8	18.3
Inadmissible (%)	7.7	28.6
Objection filed, GS only (%)	5.9	—

Notes: Sample restricted to breach-of-contract and tort classifications, filing years 2015–2026. Cases and Courts are counts; claim value, duration, hearings, and court cost are medians; all other rows are shares. Outcomes are classified from ruling text. Panel B categories are not mutually exclusive (for example, a granted case may also be a default judgment), so shares do not sum to 100 percent.

Table 2: Difference-in-Discontinuities at Both Thresholds

	At Rp 200 million (old threshold)			At Rp 500 million (new threshold)		
	Pre-reform discontinuity	Difference in discontinuities	Observations	Pre-reform discontinuity	Difference in discontinuities	Observations
GS adoption	0.719***	−0.789***	18,628	0.004**	0.420***	4,827
	(0.024)	(0.030)		(0.002)	(0.028)	
Log duration	−1.118***	1.218***	18,192	0.010	−0.684***	4,715
	(0.074)	(0.076)		(0.091)	(0.127)	
Objection	0.073***	−0.052***	18,628	0.000	0.078***	4,827
	(0.010)	(0.013)		—	(0.008)	
Hearings	−5.021***	5.589***	18,628	0.223	−2.562**	4,827
	(0.607)	(0.631)		(0.767)	(0.998)	
Plaintiff counsel	−0.227***	0.280***	18,628	0.047	−0.104	4,827
	(0.046)	(0.051)		(0.055)	(0.073)	
Institutional plaintiff	0.176***	−0.298***	18,628	−0.182***	0.212***	4,827
	(0.044)	(0.049)		(0.057)	(0.068)	

Notes: Local linear regression with a Rp 100 million bandwidth on each side of the threshold. Standard errors clustered at the court level are in parentheses. The pre-reform discontinuity is α_1; the difference-in-discontinuities estimate is α_3. GS adoption is the share filed in GS. Log duration is log(days from filing to decision + 1). Objection is whether an objection was filed; this variable is mechanically zero for regular cases, which use appeal instead. Table 4 reports a unified post-judgment review indicator pooling both. Hearings is the number of hearing sessions. Plaintiff counsel and institutional plaintiff are shares of cases with legal representation and institutional-plaintiff filing, respectively. The duration sample is smaller because it excludes cases with missing decision dates (18,192 and 4,715 observations at Rp 200 million and Rp 500 million, respectively). The pre-reform objection standard error at Rp 500 million is omitted because the GS objection rate is mechanically zero for cases above the pre-reform cap of Rp 200 million. Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 3: Robustness: Alternative Designs

	(1) Difference in differences, wide window	(2) Difference in differences, tight window	(3) Coarsened matching
	2017–2022	pre-COVID	
GS adoption	0.525***	0.473***	—
	(0.024)	(0.033)	
Log duration	−0.823***	−0.771***	−1.482***
	(0.041)	(0.094)	(0.036)
Objection	0.077***	0.049***	0.151***
	(0.006)	(0.010)	(0.009)
Plaintiff counsel	−0.113***	−0.134***	−0.152***
	(0.021)	(0.039)	(0.013)
Institutional plaintiff	0.178***	0.209***	—
	(0.018)	(0.035)	
Observations	12,742	2,590	22,384
Court fixed effects	Yes	Yes	—
Month fixed effects	Yes	Yes	—
Cell fixed effects	—	—	Yes

Notes: Columns (1)–(2) report the treatment-band × post-reform interaction from a difference-in-differences specification with court, filing-month, and classification fixed effects. These identify the average effect across the Rp 200–500 million range, not the local effect at a single threshold. Column (3) reports the GS coefficient within matched cells of court × claim-value bin × classification × plaintiff type; it holds observables constant but cannot account for unobservable selection into GS. The preferred specification is Table 2. GS adoption and institutional-plaintiff rows are blank in column (3) because these variables are absorbed by the matching-cell definition. The log-duration subsample is slightly smaller due to missing decision dates. Standard errors clustered at the court level are in parentheses. Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 4: Difference-in-Discontinuities on Post-Judgment Contestation and Reversal at Rp 500 Million

	(1) Bandwidth = Rp 50 million	(2) Bandwidth = Rp 100 million	(3) Bandwidth = Rp 150 million
Panel A. Contested (any post-judgment review filed)			
Pre-reform discontinuity	0.032	0.021	0.015
	(0.063)	(0.044)	(0.038)
Difference in discontinuities	−0.091	−0.036	−0.002
	(0.081)	(0.055)	(0.068)
Panel B. Reversed on review			
Pre-reform discontinuity	0.038	0.001	−0.002
	(0.029)	(0.021)	(0.019)
Difference in discontinuities	−0.048	0.003	0.011
	(0.038)	(0.027)	(0.024)
Observations	3,152	4,827	6,348

Notes: Local linear difference-in-discontinuities regression pooling pre-reform and post-reform periods, with the indicated bandwidth on each side of Rp 500 million. Reported values are coefficients with court-clustered standard errors in parentheses. "Contested" equals one if objection was filed (GS cases) or appeal was filed (regular cases). "Reversed" equals one if the post-judgment review modified or overturned the original ruling. The post-reform contestation rate just above Rp 500 million is 23 percent (Panel A) and the reversal rate is 16 percent (Panel B). No estimate is statistically significant at conventional levels. Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 5: Difference-in-Discontinuities First Stage at Rp 500 Million by Case Type

	Coefficient	Standard error	Observations
Panel A. By plaintiff type			
All cases	0.420***	(0.028)	4,827
Institutional plaintiffs	0.734***	(0.054)	1,316
Individual plaintiffs	0.291***	(0.024)	3,511
Panel B. By dispute type			
Financial breach of contract	0.948***	(0.019)	709
Other institutional breach of contract	0.503***	(0.081)	467
Individual breach of contract	0.499***	(0.033)	1,609
Tort (all plaintiffs)	0.149***	(0.021)	2,042

Notes: Dependent variable is GS adoption (= 1 if filed in GS). Same difference-in-discontinuities specification as Table 2 with a Rp 100 million bandwidth on each side of Rp 500 million. Each row restricts the sample to the indicated subsample. Financial cases are identified by bank and finance-company keywords in the party name. Standard errors clustered at the court level are in parentheses. Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table A1: Difference-in-Discontinuities at Rp 500 Million: Bandwidth Sensitivity

	Bandwidth = Rp 50 million	Bandwidth = Rp 100 million	Bandwidth = Rp 150 million	Pre-COVID
GS adoption	0.377***	0.420***	0.442***	0.365***
	(0.029)	(0.028)	(0.028)	(0.048)
Log duration	−0.622***	−0.684***	−0.669***	−0.495*
	(0.194)	(0.127)	(0.104)	(0.289)
Objection	0.066***	0.078***	0.085***	0.071***
	(0.009)	(0.008)	(0.007)	(0.019)
Observations	3,152	4,827	6,348	1,648

Notes: Same specification as Table 2. Standard errors clustered at the court level are in parentheses. Results are stable from Rp 25 million through Rp 200 million in bandwidth. The pre-COVID column restricts the sample to cases filed through February 2020 and uses a Rp 100 million bandwidth. Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table A2: Placebo Thresholds

Threshold	GS adoption	Log duration	Observations
Rp 300 million	0.035	−0.117	8,322
	(0.035)	(0.115)	
Rp 400 million	−0.140***	0.275**	6,691
	(0.028)	(0.118)	
Rp 500 million (true)	**0.420*** **	**−0.684*** **	**4,827**
	(0.028)	**(0.127)**	
Rp 600 million	−0.077***	−0.123	3,400
	(0.010)	(0.128)	
Rp 700 million	−0.003	0.011	1,674
	(0.003)	(0.152)	

Notes: Difference-in-discontinuities estimate at each threshold with a Rp 100 million bandwidth. The true threshold (Rp 500 million, bold) shows the only large positive adoption effect and the only large negative duration effect. The statistically significant negative adoption estimate at Rp 400 million reflects bandwidth overlap: cases at Rp 400–500 million fall within the treatment zone of the true threshold and are newly GS-eligible post-reform. Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table A3: Share of Exact Rp 500 Million Filings, Pre- vs. Post-Reform

	Pre-reform	Post-reform
Panel A. Share of exact 500m among all cases		
Rp 400–600 million window	0.43	0.30
Rp 475–525 million window	0.79	0.60
Panel B. Share of exact 500m within plaintiff type		
Non-institutional plaintiffs	0.45	0.36
Institutional plaintiffs	0.26	0.16

Notes: Each cell is the share of filings at exactly Rp 500,000,000 among all eligible cases in the indicated window or plaintiff-type group. Pre-reform is January 2016 through August 19, 2019; post-reform is August 20, 2019 through December 2023. Panel B uses the Rp 400–600 million window. Total filings in the window grew substantially after GS became available, so the absolute count of exact-500m filings rises post-reform even as the share falls. The declining share indicates the reform did not disproportionately attract filings at the focal value.

Table A4: Difference-in-Discontinuities at Rp 500 Million: Inclusive vs. Excluding Exact Rp 500 Million

	Inclusive			Excluding exact Rp 500 million		
	Coefficient	Standard error	Observations	Coefficient	Standard error	Observations
GS adoption	0.420***	(0.028)	4,827	0.785***	(0.024)	3,234
Log duration	−0.684***	(0.127)	4,715	−1.044***	(0.153)	3,154
Objection	0.078***	(0.008)	4,827	0.144***	(0.015)	3,234

Notes: Same specification as Table 2. Standard errors clustered at the court level are in parentheses. "Excluding exact Rp 500 million" drops cases filed at exactly Rp 500,000,000. Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table A5: Difference-in-Discontinuities at Rp 500 Million by Court Characteristics

Subsample	GS adoption		Log duration		Observations
	Coefficient	Standard error	Coefficient	Standard error	
All courts	0.420***	(0.028)	−0.684***	(0.127)	4,827
Geographic location					
Java	0.371***	(0.040)	−0.441***	(0.141)	2,411
Non-Java	0.466***	(0.035)	−0.910***	(0.210)	2,416
Jurisdiction type					
Urban municipality	0.341***	(0.041)	−0.563***	(0.140)	2,501
Rural regency	0.494***	(0.029)	−0.722***	(0.221)	2,326
Court caseload					
High caseload	0.414***	(0.032)	−0.664***	(0.141)	4,077
Low caseload	0.468***	(0.043)	−0.609***	(0.223)	706
Median claim value					
Above median	0.376***	(0.030)	−0.489***	(0.109)	3,780
Below median	0.557***	(0.041)	−1.490***	(0.437)	1,047

Notes: Same specification as Table 2 with a Rp 100 million bandwidth. Each panel splits courts by the indicated characteristic. Java includes all courts on the island of Java. High and low caseload split at the median post-reform GS caseload per court; 44 cases from courts with missing caseload data are excluded from that split. Above and below median claim value split at the median claim value across all cases per court. Standard errors clustered at the court level are in parentheses. Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table A6: Case Characteristics and Adoption by Claim Value

	Rp 0–50 million	Rp 50–100 million	Rp 100–200 million	Rp 200–300 million	Rp 300–400 million	Rp 400–500 million
Panel A. Procedure						
Duration (median, days)	27	28	29	32	34	34
Hearings (median)	4	4	4	5	5	5
Panel B. Party behavior						
Plaintiff counsel (%)	38.3	41.9	43.5	50.5	57.5	62.6
Defendant counsel (%)	1.3	1.5	2.2	3.1	4.1	3.6
Default judgment (%)	13.1	12.7	11.4	11.1	12.0	11.7
Settlement (%)	15.1	15.1	11.7	11.8	10.3	7.8
Objection filed (%)	2.5	3.8	5.7	8.4	11.7	16.4
Panel C. Adoption (all eligible cases)						
GS adoption, all (%)	72.5	86.1	82.2	71.7	64.5	52.0
Institutional (%)	93.6	96.2	94.1	89.5	82.0	78.2
Individual (%)	42.1	60.4	62.2	46.9	47.2	36.5
Institutional share (%)	59.1	72.0	62.7	58.3	49.7	37.2
N (Panels A–B)	10,196	11,107	12,684	5,369	2,532	2,417
N (Panel C)	14,061	12,894	15,425	7,484	3,924	4,650

Notes: Panel A reports medians; Panels B–C report percentages. Panels A–B cover post-reform GS cases only. Panel C covers all post-reform eligible cases (GS and regular), restricted to breach of contract and tort classifications. Columns are claim-value bands in Rp millions. Duration is filing to decision in calendar days. Institutional plaintiffs are identified by legal-entity markers in the party name (PT, CV, Bank, etc.).

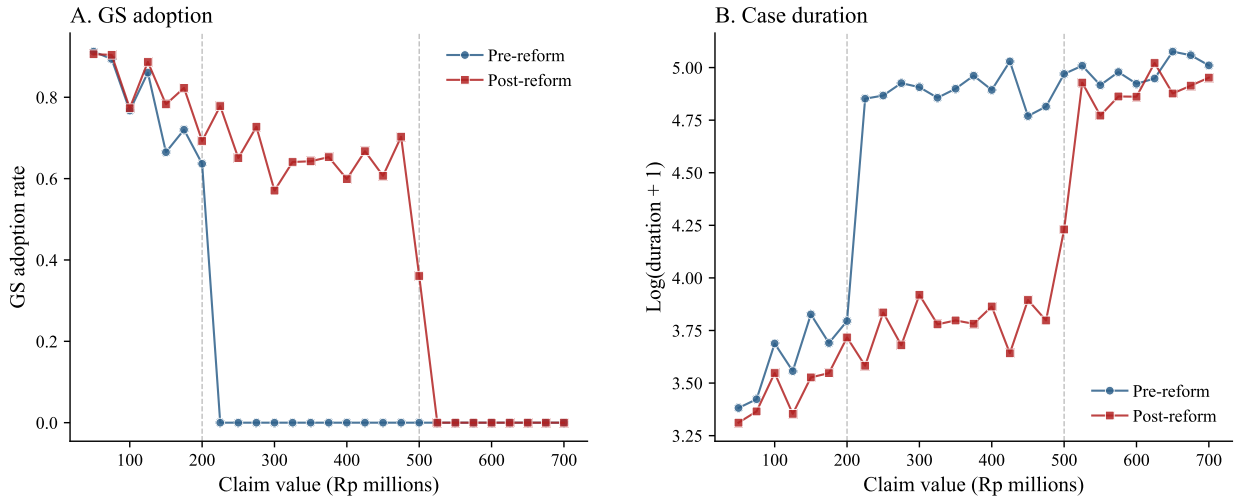


Figure 1: The Moving Threshold

Notes: Each point is the unweighted mean of the outcome variable within a Rp 25 million bin. Panel A plots GS adoption rates. Panel B plots log(duration + 1). Pre-reform (circles) is January 2016 through August 19, 2019. Post-reform (squares) is August 20, 2019 onward. Vertical dashed lines mark the old threshold (Rp 200 million) and new threshold (Rp 500 million). Confidence intervals are omitted; Table 2 reports the formal estimates.

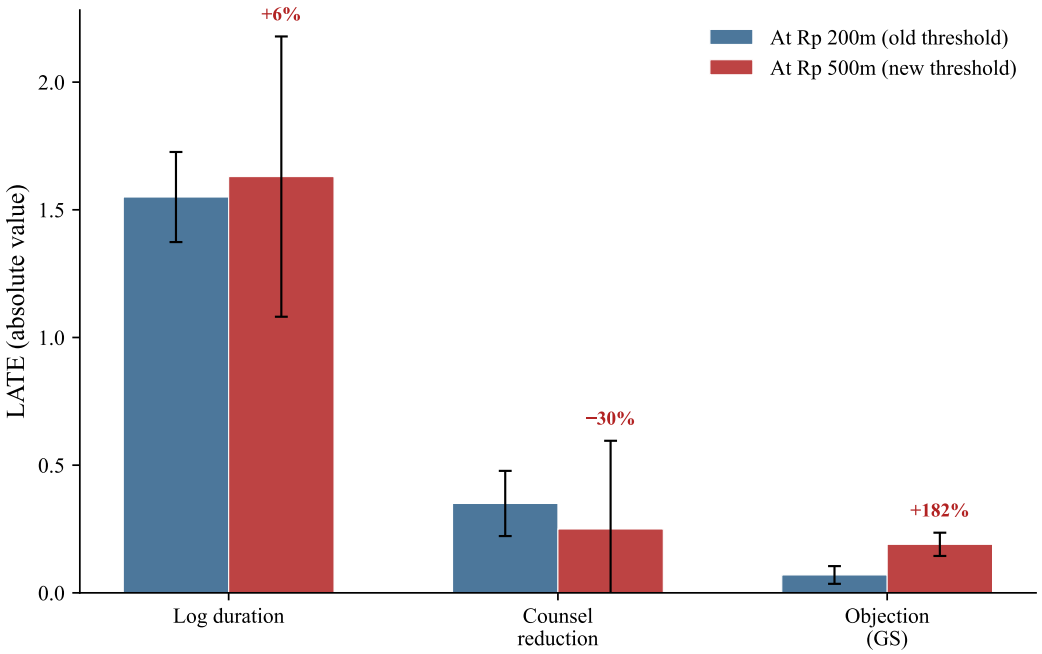


Figure 2: Local Average Treatment Effects at the Old (Rp 200 Million) and New (Rp 500 Million) Thresholds

Notes: LATE is computed by scaling the reduced-form difference-in-discontinuities estimate by the first-stage adoption discontinuity using the Table 2 coefficients. The bandwidth is Rp 100 million on each side. Outcomes are log duration, plaintiff-counsel reduction, and GS-specific objection rate. Bars are point estimates in absolute value; 95 percent confidence intervals are computed from delta-method standard errors.

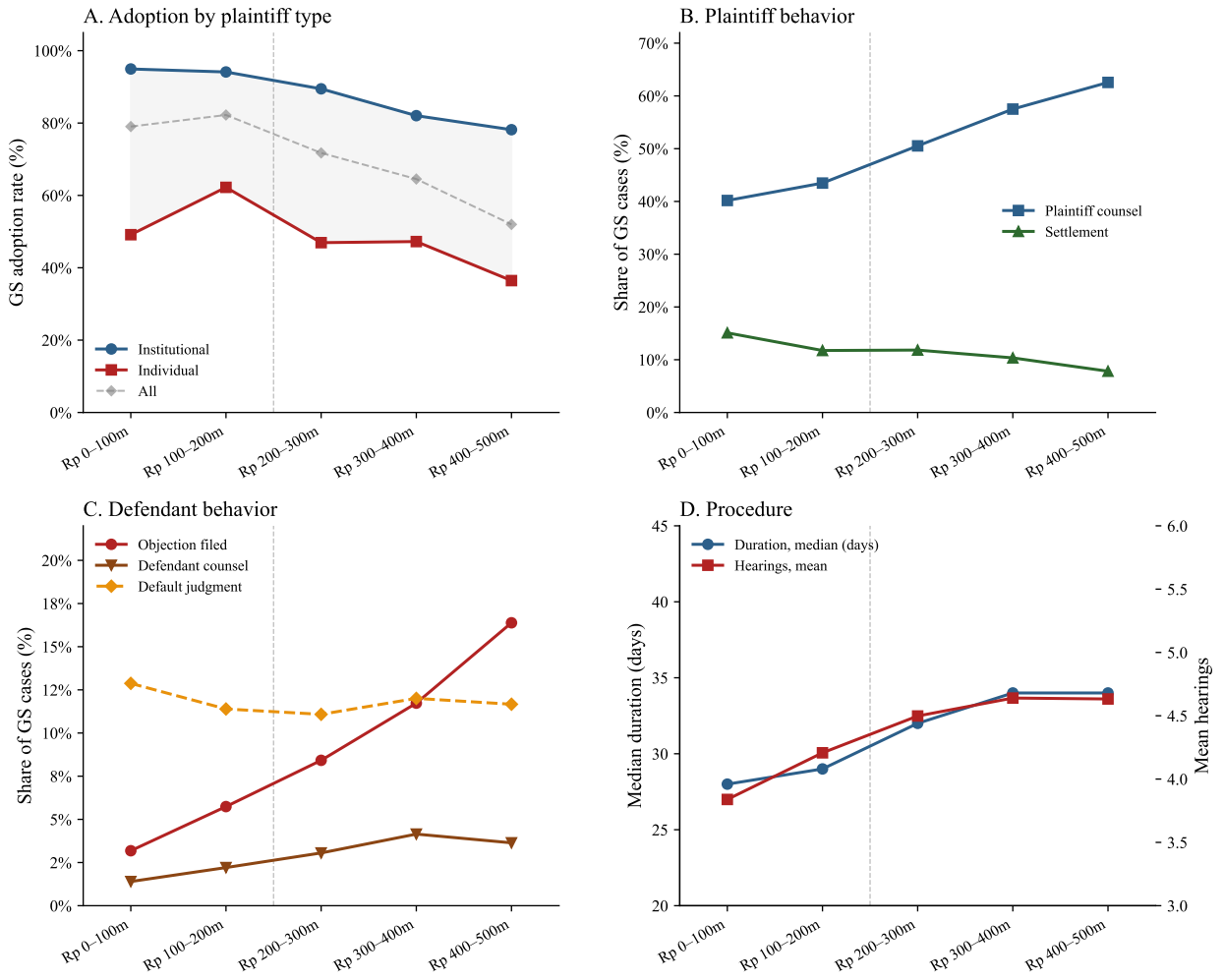


Figure 3: Mechanisms: Adoption and Party Behavior by Claim Value

Notes: Panel A plots GS adoption rates among all post-reform eligible cases, separately for institutional and individual plaintiffs; the gray dashed line is the overall rate. Panel B plots plaintiff-counsel and settlement rates. Panel C plots objection filed, defendant counsel, and default-judgment rates. Panel D plots median duration (days, left axis) and mean hearings (right axis). Panels B through D are restricted to GS cases. All variables are bin-level statistics within 100-million-rupiah claim-value bands. The vertical dashed line marks the old Rp 200 million cap. The underlying data are reported in Appendix Table A6.

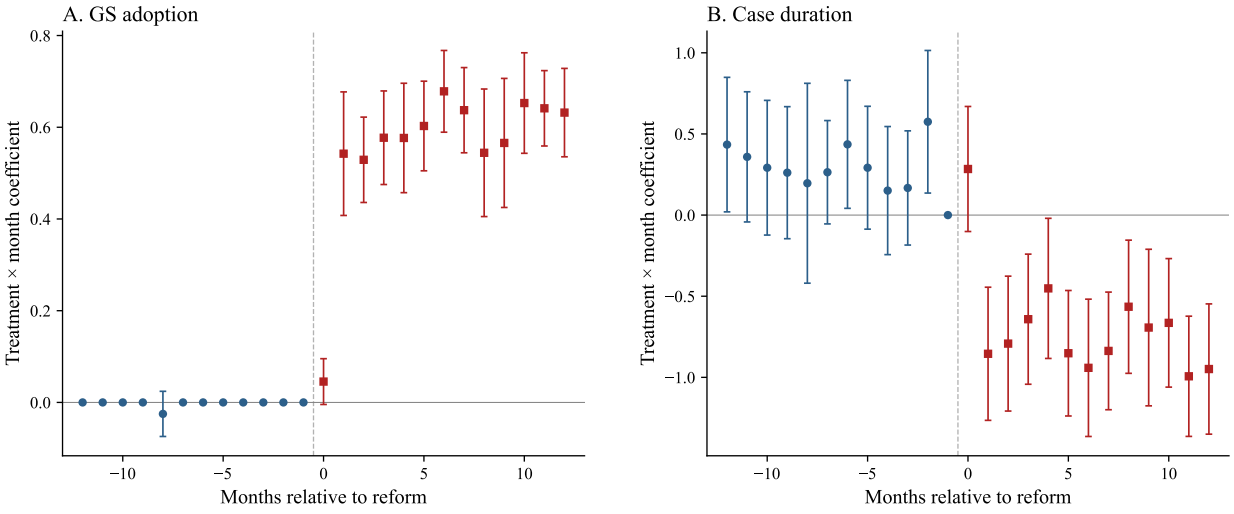


Figure A1: Event Study: DiD Pre-Trends

Notes: The treatment band is Rp 200–500 million and the control band is Rp 500 million–1 billion. Each point is the treatment-by-month interaction coefficient from a pooled regression with month fixed effects, relative to the month before the reform (August 2019, omitted). Ninety-five percent confidence intervals are computed from court-clustered standard errors. Blue circles are pre-reform months; red squares are post-reform.

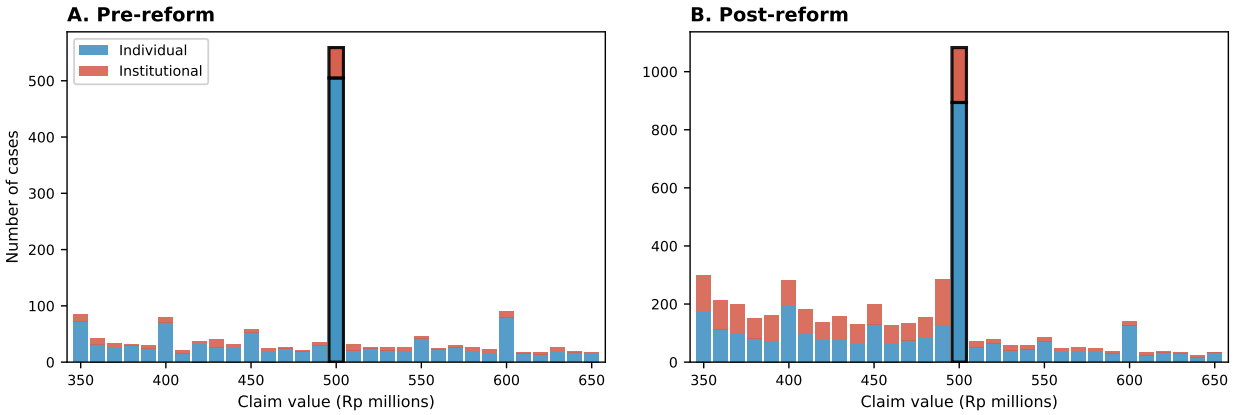


Figure A2: Claim-Value Density Around Rp 500 Million

Notes: This stacked histogram plots filings in Rp 10 million bins around the 500-million threshold, decomposed by plaintiff type. Blue segments are individual plaintiffs and red segments are institutional plaintiffs. The outlined bar is the Rp 500 million bin. The spike is present in both periods and is overwhelmingly composed of individual plaintiffs.